

STATE OF NEW YORK

5640--D

2025-2026 Regular Sessions

IN SENATE

February 26, 2025

Introduced by Sens. BAILEY, ADDABBO, CLEARE, COMRIE, FERNANDEZ, GOUNARDES, JACKSON, STAVISKY -- read twice and ordered printed, and when printed to be committed to the Committee on Racing, Gaming and Wagering -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee -- recommitted to the Committee on Racing, Gaming and Wagering in accordance with Senate Rule 6, sec. 8 -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the racing, pari-mutuel wagering and breeding law, in relation to authorizing up to two percent of mobile sports tax revenue be used for youth team sports funding

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. Subdivision 8 of section 1367 of the racing, pari-mutuel
2 wagering and breeding law, as amended by section 1 of part 00 of chapter
3 59 of the laws of 2025, is amended to read as follows:

4 8. (a) Notwithstanding section thirteen hundred fifty-one of this
5 article, mobile sports wagering gross gaming revenue and tax revenue
6 shall be excluded from sports wagering gross gaming revenue and tax
7 revenue. Mobile sports wagering tax revenue shall be separately main-
8 tained and returned to the state for deposit into the state lottery fund
9 for education aid except as otherwise provided in this subdivision. Any
10 interest and penalties imposed by the commission relating to those
11 taxes, all penalties levied and collected by the commission, and the
12 appropriate funds, cash or prizes forfeited from sports wagering shall
13 be deposited into the state lottery fund for education.

14 (b) In fiscal year two thousand twenty-two, the commission shall pay
15 into the commercial gaming fund one percent of the state tax imposed on

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

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1 mobile sports wagering by this section to be distributed for problem
2 gambling education and treatment purposes pursuant to paragraph a of
3 subdivision four of section ninety-seven-nnnn of the state finance law;
4 provided however, that such amount shall be equal to six million dollars
5 for each fiscal year through fiscal year two thousand twenty-six and
6 twelve million dollars for each fiscal year thereafter, provided that
7 this amount may only be expended pursuant to a plan approved by the
8 director of the budget.

9 (c) In fiscal year two thousand twenty-two, the commission shall pay
10 one percent of the state tax imposed on mobile sports wagering by this
11 section to the general fund, a program to be administered by the office
12 of children and family services for a statewide youth sports activities
13 and education grant program for the purpose of providing annual awards
14 to sports teams and programs for underserved youth under the age of
15 eighteen years for programming, improvements, and equipment; provided
16 however, that such amount shall be equal to five million dollars for
17 each fiscal year through fiscal year two thousand twenty-six and twen-
18 ty-three million dollars for each fiscal year thereafter. Forty-five
19 percent of such funding shall be used for capital expenditures and the
20 remaining fifty percent shall be used for programming. Capital expendi-
21 ture funding shall be distributed by county youth bureaus. Programmatic
22 funding shall be distributed by county youth bureaus, except in the city
23 of New York where seventy-five percent of programming funding shall be
24 distributed by the city's department of youth and community development
25 and twenty-five percent of such funding shall be distributed by a not-
26 for-profit organization that has an established history of making grants
27 to improve the lives of youth in underserved communities by supporting
28 and investing in programs that use sports as a vehicle for youth devel-
29 opment and social change. Each county youth bureau, the city of New
30 York's department of youth and community development, and a not-for-pro-
31 fit organization that has an established history of making grants to
32 improve the lives of youth in underserved communities by supporting and
33 investing in programs that use sports as a vehicle for youth development
34 and social change shall issue a report to the commissioner on the recip-
35 ients of such funding, the use of the funds, and the impact of the fund-
36 ing within six months of the end of each grant period.

37 (d) The commission shall require at least monthly deposits by a plat-
38 form provider of any payments pursuant to subdivision seven of this
39 section, at such times, under such conditions, and in such depositories
40 as shall be prescribed by the state comptroller. The deposits shall be
41 deposited to the credit of the state commercial gaming revenue fund. The
42 commission shall require a monthly report and reconciliation statement
43 to be filed with it on or before the tenth day of each month, with
44 respect to gross revenues and deposits received and made, respectively,
45 during the preceding month.

46 § 2. This act shall take effect immediately.